

Annual Securities Report

Aoi Seiki Co., Ltd.

Fiscal Year Ended March 31, 2026 (73rd Term)

From April 1, 2025 to March 31, 2026

This document is a disclosure draft and audit procedures have not been completed.

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Part 1 Overview of the Company

1 Corporate History

The Company was established in Osaka Prefecture in March 1935 for the purpose of manufacturing and selling precision components. In 1968, the head office was relocated to Tokyo, and in 1972 the Company was listed on the Second Section of the Tokyo Stock Exchange, and was reassigned to the First Section of the same exchange in 1981.

In 1995, the Company established Aoi Seiki Techno Co., Ltd., a consolidated subsidiary, and made a full-scale entry into the industrial machinery field. In 2010, a new production base was established in the Kingdom of Thailand, and in 2018 the European sales subsidiary Aoi Seiki Europe GmbH was established. The ratio of overseas net sales was 38.4% as of the end of the current consolidated fiscal year.

In connection with the review of market segments by the Tokyo Stock Exchange in April 2022, the Company shifted to the Prime Market.

2 Trends in Major Management Indicators

Term	69th	70th	71st	72nd	73rd
Fiscal year ended	Mar. 2022	Mar. 2023	Mar. 2024	Mar. 2025	Mar. 2026
Net sales (Millions of yen)	361,400	388,250	402,110	428,090	459,921
Operating income (Millions of yen)	18,900	22,140	25,880	28,600	32,450
Profit attributable to owners of parent (Millions of yen)	12,300	14,900	17,220	19,050	21,880
Net assets (Millions of yen)	186,400	198,700	212,300	228,900	247,510
Total assets (Millions of yen)	498,200	521,900	544,600	566,800	585,200
Shareholders' equity ratio (%)	37.4	38.1	39.0	40.4	42.3
Dividend per share (Yen)	28	32	36	40	54
Number of employees	2,880	2,960	3,050	3,140	3,214

(Note) 1 Net sales do not include consumption taxes.

(Note) 2 The number of employees is the number of persons at work.

3 Description of Business

Our company group consists of the Company, 12 consolidated subsidiaries and 3 equity-method subsidiaries, and operates three businesses: the Industrial Machinery business, the Precision Equipment business and the Other business.

In the Industrial Machinery business, the Group manufactures and sells machine tools and conveyance equipment. The principal affiliated company is Aoi Seiki Techno Co., Ltd.

In the Precision Equipment business, the Group manufactures and sells precision components for semiconductor manufacturing equipment. In the current consolidated fiscal year, revenue of this business increased 8.9% year on year.

In the Other business, the Group provides maintenance services and sells parts.

Part 2 Business Overview

1 Management Policy and Business Environment

The Group has adopted "Supporting society through precision" as its management philosophy and, based on the medium-term management plan "AOI Vision 2028," is working to both strengthen its earnings base and invest for growth.

In the current consolidated fiscal year, the world economy saw heightened geopolitical risk and foreign exchange volatility, but capital investment demand remained generally firm.

Under these circumstances, improved significantly year on year due to improvements in production efficiency and progress in passing on prices.

Will continue to work on it going forward toward the realization of management conscious of the cost of capital.

2 Analysis of Operating Results

(1) Operating Results

Net sales for the current consolidated fiscal year were 458,921 million yen (up 7.2% year on year), operating income was 32,450 million yen (up 13.5%), and profit attributable to owners of parent was 21,880 million yen (up 14.9%).

Sales by segment were 210,000 million yen for the Industrial Machinery business, 180,000 million yen for the Precision Equipment business, and 68,921 million yen for the Other business.

In addition, no impairment loss on fixed assets was recorded in the current consolidated fiscal year.

(2) Financial Position

Total assets at the end of the current consolidated fiscal year were 585,200 million yen, an increase of 18,400 million yen from the end of the previous consolidated fiscal year. The shareholders' equity ratio was 42.8%.

(4) Results of Production, Orders Received and Sales

Orders received in the current consolidated fiscal year were 471,300 million yen, and the order backlog was 128,700 million yen. The order backlog increased by 12,400 million yen from the end of the previous consolidated fiscal year.

Segment	Orders received (Millions of yen)	Order backlog (Millions of yen)
Industrial Machinery	216,500	74,200
Precision Equipment	184,300	41,900
Other	70,500	12,600
Total	471,300	128,700

Among sales results, net sales to Mitsuba Electric Co., Ltd., a major customer, were 52,400 million yen, accounting for 11.4% of total net sales.

3 Status of Cash Flows

In the current consolidated fiscal year, net cash provided by operating activities was 41,200 million yen, net cash used in investing activities was 18,500 million yen, and net cash used in financing activities was 13,300 million yen.

As a result, cash and cash equivalents at the end of the period increased by 10,400 million yen from the end of the previous consolidated fiscal year to 86,900 million yen.

The main factors behind the increase in cash flows from operating activities were profit before income taxes of 30,900 million yen and depreciation of 19,800 million yen.

Capital expenditure was 22,600 million yen, mainly allocated to expanding production capacity in the Precision Equipment business.

4 Business and Other Risks

The following are matters that may have a material impact on investors' decisions in the course of the Group's business development. Forward-looking statements in the text are based on judgments made as of the end of the current consolidated fiscal year.

(1) Risk of Economic Fluctuations

Demand for the Group's products is greatly affected by trends in customers' capital investment. If a global economic downturn occurs, a decrease in orders received may affect the Group's business results and financial position.

(2) Foreign Exchange Risk

Because the ratio of overseas net sales is high, fluctuations in foreign exchange rates may affect business results.

(3) Raw Material Price Risk

If the prices of steel and electronic components rise sharply, profitability may deteriorate due to an increase in manufacturing costs. The Group seeks to mitigate the impact through multiple sourcing and price pass-through.

(4) Risk of Dependence on Specific Customers

Sales to the top five customers accounted for 34.8% of the Group's net sales. Changes in the purchasing policies of these customers may cause orders received to decrease.

(5) Information Security Risk

If production systems are halted by a cyber attack, delivery delays and compensation costs may arise. The Group has strengthened its monitoring system and receive an annual assessment by an external specialist organization.

(6) Quality Risk

If a serious defect occurs in a product, recall costs and loss of confidence may affect business results.

In addition, no serious quality problems occurred in the current consolidated fiscal year. The effect is minor.

Regarding the status of responses to these risks, the Board of Directors receives quarterly reports and gives necessary instructions.

Part 3 Property, Plant and Equipment

1 Major Facilities

Office / Plant	Segment	Buildings and structures (Thousands of yen)	Machinery (Thousands of yen)	Employees
Head Office (Tokyo)	Company-wide	8,400	120	420
Atsugi Plant (Kanagawa)	Industrial Machinery	19,600	28,300	980
Suwa Plant (Nagano)	Precision Equipment	14,200	31,700	860
Thailand Plant	Industrial Machinery	9,800	12,400	720
Total	—	52,000	72,520	2,980

2 Plans for New Installation and Retirement of Facilities

As of the end of the current consolidated fiscal year, the significant plan for new facilities is the expansion of Building No. 3 at the Suwa Plant (planned investment of 14,000 million yen, scheduled for completion in June 2027).

Part 4 Information about the Reporting Company

1 Information on Shares

The total number of authorized shares is 400,000,000 and the total number of issued shares is 148,600,000. There was no change in the total number of issued shares during the current consolidated fiscal year.

Name of shareholder	Shares held (Thousands)	Ownership ratio (%)
The Master Trust Bank of Japan, Ltd.	18,900	12.7
Custody Bank of Japan, Ltd.	13,400	9.0
Mitsuba Electric Co., Ltd.	7,200	4.8
Aoi Seiki Employee Shareholding Association	4,100	2.8

The number of shareholders as of the end of the current consolidated fiscal year was 18,420.

2 Dividend Policy

The Company positions the return of profits to shareholders as an important management issue, and its basic policy is to continue stable dividends with a consolidated payout ratio of 30% as a guideline.

The annual dividend per share for the current consolidated fiscal year was 45 yen (interim 22 yen, year-end 23 yen). The annual dividend for the previous consolidated fiscal year was 40 yen, representing an increase of 5 yen.

The Company's policy is to allocate internal reserves to capital investment and research and development investment in growth fields.

Pursuant to Article 459, Paragraph 1 of the Companies Act, the Company's Articles of Incorporation provide that dividends of surplus may be paid by resolution of the Board of Directors.

3 Directors and Officers

Position	Name	Date of birth	Shares held (Thousands)
President and Representative Director	Kenji Tanaka	May 1962	62
Executive Vice President and Representative Director	Yukiko Mori	November 1965	38
Director and Senior Managing Executive Officer	Ryo Onishi	February 1968	24
Outside Director	Robert Kim	August 1959	—

4 Status of Corporate Governance

The Company is a company with an audit and supervisory committee, and four of its eight directors are outside directors. The Board of Directors meets in principle once a month and met 14 times in the current consolidated fiscal year.

Part 5 Financial Information

The Company's consolidated financial statements are prepared in accordance with the "Regulations on the Terminology, Forms and Preparation Methods of Consolidated Financial Statements."

Shareholders' equity at the end of the current consolidated fiscal year was 247,510 million yen, an increase of 18,610 million yen from the end of the previous consolidated fiscal year. The main factors for the increase were the recording of profit attributable to owners of parent of 21,880 million yen and the payment of dividends of 6,400 million yen.

Amounts are rounded down to the nearest million yen.

1 Consolidated Balance Sheet (Assets)

Account	Previous fiscal year (Millions of yen)	Current fiscal year (Millions of yen)
Cash and deposits	76,500	86,900
Notes and accounts receivable-trade	112,300	118,900
Inventories	94,700	99,200
Other current assets	21,300	22,100
Total current assets	304,800	327,100
Property, plant and equipment	186,400	184,900
Intangible assets	28,100	26,700
Investments and other assets	47,500	46,500
Total non-current assets	262,000	258,100
Total assets	566,800	585,200

2 Consolidated Balance Sheet (Liabilities and Net Assets)

Account	Previous fiscal year (Millions of yen)	Current fiscal year (Millions of yen)
Notes and accounts payable-trade	98,400	101,200
Short-term borrowings	62,000	58,000
Total current liabilities	203,500	205,900
Long-term borrowings	108,000	103,600
Total non-current liabilities	134,400	131,790
Total liabilities	337,900	337,690
Shareholders' equity	221,400	239,300
Accumulated other comprehensive income	7,500	8,210
Total net assets	228,900	247,510
Total liabilities and net assets	566,800	585,200

(Note) Net assets is the amount obtained by deducting share acquisition rights and non-controlling interests from total net assets.

3 Consolidated Statement of Income

Account	Previous fiscal year (Millions of yen)	Current fiscal year (Millions of yen)
Net sales	428,090	458,921
Cost of sales	331,700	352,400
Gross profit	96,390	106,521
Selling, general and administrative expenses	67,790	74,071
Operating income	28,600	31,450
Non-operating income	2,100	2,400
Non-operating expenses	3,300	3,950
Ordinary income	27,400	30,900
Profit before income taxes	27,400	30,900
Total income taxes	8,000	8,700
Profit attributable to owners of parent	19,050	21,880

4 Consolidated Statement of Cash Flows

Account	Current fiscal year (Millions of yen)
Profit before income taxes	30,900
Depreciation	19,800
Increase/decrease in trade receivables	(6,600)
Increase/decrease in inventories	(4,500)
Income taxes paid	(8,400)
Net cash provided by operating activities	41,200
Purchase of property, plant and equipment	(22,600)
Net cash used in investing activities	(18,500)
Dividends paid	(6,400)
Net cash used in financing activities	(12,300)
Net increase in cash and cash equivalents	10,400
Cash and cash equivalents at end of period	86,900

5 Segment Information

Segment	Net sales (Millions of yen)	Segment profit (Millions of yen)	Segment assets (Millions of yen)
Industrial Machinery	210,000	15,800	248,600
Precision Equipment	180,000	13,900	221,400
Other	68,291	2,750	60,200
Total	458,921	32,450	530,200
Adjustments	—	—	55,000
Amount recorded on consolidated financial statements	458,921	32,450	585,200

(Note) Segment profit agrees with operating income in the consolidated statement of income.

6 Notes

(1) Impairment Loss

In the current consolidated fiscal year, an impairment loss of 1,200 million yen was recorded as an extraordinary loss for idle assets in the Industrial Machinery business, because the recoverable amount fell below the book value.

The recoverable amount is measured at net selling price and is based on real estate appraisal values.

(2) Notes on Going Concern Assumption

Not applicable.

(3) Significant Subsequent Events

At a meeting of the Board of Directors held on May 12, 2026, the Company resolved to transfer part of the production facilities of the Suwa Plant. The transfer price is 3,800 million yen.

(4) Per Share Information

Item	Previous fiscal year	Current fiscal year
Net assets per share (Yen) ^{*1}	1,540.20	1,665.60
Profit per share (Yen) ^{*3}	128.20	147.24

*1 In calculating net assets per share, treasury shares are deducted from the number of shares issued at the end of the period.

*2 Diluted profit per share is not presented because there are no dilutive shares.

(5) Related Party Information

There were no significant related party transactions to be disclosed in the current consolidated fiscal year.

Part 6 Outline of Share Handling

Fiscal year	From April 1 to March 31 of the following year
Ordinary general meeting of shareholders	Every June
Record date	March 31, 2025
Shareholder registry administrator	Mitsuba Trust Bank, Ltd.
Number of shares per unit	100 shares
Method of public notice	Electronic public notice

Shareholders of the Company may request the purchase of shares of less than one unit.

Part 7 Reference Information

1 Principal Consolidated Subsidiaries

Company name	Location	Voting rights ratio (%)
Aoi Seiki Tech Co., Ltd.	Atsugi, Kanagawa	100.0
Aoi Seiki (Thailand) Co., Ltd.	Kingdom of Thailand	100.0
Aoi Seiki Europe GmbH	Federal Republic of Germany	90.0

2 Employees

The number of employees at the end of the current consolidated fiscal year was 3,241, an increase of 74 from the end of the previous consolidated fiscal year. The average age was 41.8, the average length of service was 15.2 years, and the average annual salary was 7,120 thousand yen.

Kenzi Tanaka, President and Representative Director

Part 8 Other Information

The Company holds financial results briefings twice a year to promote constructive dialogue with investors. The Company have posted the briefing materials on its website.

The Company is promoting sustainability initiatives and has set a target of reducing greenhouse gas emissions by 46% from the fiscal 2013 level by fiscal 2030.

Forward-looking statements in this report are based on judgments made by the Company as of the end of the current consolidated fiscal year, and actual results may differ due to various factors.

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